AUXR

Auxite Reserve Index

A NAV-Anchored, Paper-Hedged Multi-Metal Reserve Token

Issued by Aurum Ledger Ltd · Network: Base (chainId 8453) · Version 2.0 · July 2026

---

1. Executive Summary

AUXR (Auxite Reserve Index) is a NAV-anchored digital reserve token representing a diversified basket of four monetary and industrial precious metals — gold, silver, platinum and palladium. AUXR is engineered to give holders a single, liquid, exchange-tradable instrument whose value tracks the net asset value (NAV) of a professionally managed, transparently priced metal basket.

Unlike single-metal allocation tokens, AUXR is a paper-hedged reserve instrument. Its exposure to the underlying metals is maintained through a combination of unallocated positions and exchange-traded / OTC derivatives executed with a regulated brokerage counterparty. The token is cash-settled at NAV rather than redeemed for physical bars, which allows AUXR to scale on centralized-exchange liquidity without incurring per-trade physical settlement costs, while remaining fully hedged on a net-asset basis.

AUXR is the reserve-index member of the Auxite token family. The single-metal tokens — AUXG, AUXS, AUXPT and AUXPD — remain physically allocated, mint-on-allocation / burn-on-redemption instruments. AUXR sits above them as the diversified, market-traded reserve unit anchored to the same underlying metal-price infrastructure.

Official disclosure: AUXR is a basket token whose NAV tracks a 55/30/10/5 Au/Ag/Pt/Pd basket at global spot. Its metal-price exposure is hedged 1:1 through metal derivative and unallocated positions held with a regulated metals broker — it is not backed by allocated physical bullion. AUXR is cash-settled at NAV and is not individually redeemable for physical metal.

2. Token at a Glance

Token name	Auxite Reserve Index
Symbol	AUXR
Network	Base (Ethereum L2, chainId 8453)
Standard	ERC-20
Contract address	0xB145B8e9C02193d55454f534f917Cabe704FA042

Admin / owner	Gnosis Safe multisig 0xEdC9163c5f8A2a76BD1CdDa6BAA4Eb576B481070
Decimals	18
Underlying	Basket: 55% Gold · 30% Silver · 10% Platinum · 5% Palladium (USD-value weights)
Reference NAV	USD 100.00 per AUXR at launch
Valuation	Net Asset Value (NAV) per token, from live metal spot applied to fixed basket grams
Settlement	Cash-settled at NAV (paper-hedged 1:1 via broker); not physically redeemable
Spread	50 bps each side (1% round-trip)
Issuer	Aurum Ledger Ltd
Jurisdiction of offering	Regulation S (offshore); United States persons geo-fenced / excluded

3. Design & Backing Model

3.1 The Basket

AUXR represents a fixed-composition basket of four precious metals, weighted by USD value at launch reference prices. Gold anchors the basket as the store-of-value core; silver adds liquidity and industrial-demand exposure; platinum contributes auto-catalyst beta; palladium is a small tail position. The result is a reserve unit with lower single-metal volatility than any one constituent held alone. Weights are immutable in Phase 1A; any rebalance requires a separate governance event.

Basket composition (reference NAV of USD 100.00 per AUXR at launch):

Metal	USD Weight	Launch Price ($/g)	Grams per AUXR
Gold	55%	145.00	0.3793
Silver	30%	2.26	13.2743
Platinum	10%	60.00	0.1667
Palladium	5%	45.00	0.1111

Note: USD weights drift naturally with spot prices after launch; the gram quantities per AUXR are fixed. NAV per token floats with live metal spot prices applied to these fixed grams.

3.2 Paper-Hedged Backing

AUXR exposure is maintained on a net-asset basis through a layered hedging stack:

- Unallocated metal positions held with regulated bullion counterparties.
- Exchange-traded and OTC derivatives (futures / forwards) executed through a regulated brokerage partner to keep the basket delta-hedged to target weights.

This paper-hedged construction means AUXR is not individually redeemable for physical bars. Instead, each token is economically backed by the aggregate hedged position and is settled in value terms at NAV. Reserves are managed so that the total hedged asset value continuously

backs the circulating supply. This is disclosed transparently: AUXR is a reserve-index instrument, not a physical warehouse receipt.

3.3 Net Asset Value

NAV per AUXR token is derived from live institutional metal price feeds applied to the basket weights, net of the hedged position, published on a continuous basis. NAV is the reference price for primary issuance, market-making and any cash settlement.

4. Custody & Reserves

AUXR metal-price exposure is maintained through metal derivative and unallocated positions held with a regulated precious-metals brokerage partner, hedged 1:1 to the basket. Reserve backing is published at auxite.io/proof-of-reserves. The single-metal Auxite tokens (AUXG/AUXS/AUXPT/AUXPD) remain fully physically allocated and non-fractional; AUXR differs in that it is a paper-hedged, cash-settled reserve index rather than a physical warehouse receipt.

5. Market Structure & Liquidity

AUXR is designed for centralized-exchange listing with professional market-making. A designated market maker provides continuous two-sided liquidity anchored to the published NAV, ensuring tight spreads and orderly price discovery. Because AUXR is cash-settled at NAV rather than per-trade physically settled, secondary-market volume can scale without proportional physical logistics cost — the core structural advantage of the reserve-index design over single-metal physical tokens.

6. Compliance & Regulatory Posture

- Offering conducted under Regulation S (offshore). United States persons are geo-fenced and excluded from regulated features at the application layer.
- Full AML/KYC and sanctions screening applied to all onboarded users.
- Multi-jurisdiction application support (six languages) with jurisdiction-aware access controls.
- Issuer operates through Aurum Ledger Ltd with defined governance over treasury and reserve policy.

7. Governance & Contract Security

The AUXR contract is administered by a Gnosis Safe multisig (0xEdC9163c5f8A2a76BD1CdDa6BAA4Eb576B481070), requiring multiple authorized signatures for any privileged action. Issuance and redemption of primary AUXR are controlled by the issuer against the hedged reserve. The contract is deployed and verified on Base mainnet.

8. Risk Factors

- Market risk — the value of AUXR moves with precious-metal prices and basket weighting.

- Hedging / basis risk — derivative hedges may diverge from spot; paper-hedged backing is net-asset, not per-token physical.
- Counterparty risk — reliance on brokerage, custody and market-making partners.
- Liquidity risk — secondary-market depth depends on the designated market maker and exchange demand.
- Regulatory risk — changes in the treatment of tokenized RWAs across jurisdictions.
- Technical risk — smart-contract and infrastructure risk inherent to on-chain instruments.

9. Disclaimer

This document is provided for information purposes only and does not constitute an offer or solicitation to any person in any jurisdiction where such offer or solicitation is unlawful. AUXR is offered under Regulation S and is not available to United States persons. Precious-metal and digital-asset investments carry risk, including loss of capital. Nothing herein is financial, legal or tax advice. Figures, addresses and structure are current as of the version date and subject to change.